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Grayson Mill III Information Packet

Packet Summary:

1. June 2023 Internal Formation Memo & Slides

   - Provide an overview of Grayson Mill III formation and the $825 million Bakken acquisition

2. January 2024 Internal Update Slides

   - Provide an update on the Grayson Mill III investment

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OVV Bakken Acquisition
Grayson Mill Energy III

June 9, 2023

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Sam Sam
Jun 26, 2024 12:03 PM EDT

Executive Summary

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$825 million acquisition of Ovintiv Inc.'s ("OVV") Bakken properties and formation of Grayson Mill Energy ("GME") III

- **Timing** – PSA executed on April 3rd; closing scheduled for Monday, June 12th
  - $41 million deposit funded concurrent with PSA execution
- **Purchase Price** – $825 million at closing in June (additional $10 million in transaction costs)
  - $740 million upfront cash needs (deposit + close) after ~$95 million of interim period CF & adjustments (January 1st effective date)
- **Capitalization at Closing** – $465 million GME III equity and $275 million of bank debt
  - GME III (new entity/waterfall) – $920 million ultimate equity commitment[(1)] (Funds X, XI, & XII; Co-Investors; management[(2)])
  - EnCap received approval from Funds X & XI Advisory Boards on March 30th to bring Fund XII into GME III
  - Commitment sizing will provide dry powder ($455 million) for future growth opportunities at GME III
- **Opportunity** – Compelling investment alongside proven management team that has created substantial value in the Bakken (GME II)
  - Significant hard value (~$810 million) with attractive upside remaining (130 net risked development opportunities)[(3)]
  - Lower risk downside with asymmetric upside potential at higher commodity prices; 28% blowdown IRR at strip pricing
    - Further upside with business development efforts (track record of BD success at GME II)

Sources	Committed	Invested at Close	June 30 Invested[(1)]
Fund X	$ 67	$ 37	$ 34
Fund XI	133	73	69
Fund XII	400	220	206
Co-Invest	300	135	154
Management[(2)]	4	-	2
Equity Capital Sources	$ 904	$ 465	$ 465
Bank Debt	375	275	275
Interim Adjusted CF	-	95	95
Total Sources	**$ 1,279**	**$ 835**	**$ 835**

Uses	
Deposit	$ 41
Remaining 1st Close	784
Fees/Expenses	10
Total Uses	**$ 835**

~$740 million upfront cash need inclusive of deposit and after netting out interim period CF.

Asset Summary (6.7.23 Strip):	
Proved Developed PV-10	$ 809
2023E EBITDA	$ 406
2023E Capex	167
2023E Levered FCF	228
2023E Production (Mboe/d)	34.1

(1) Approximately $245 million of the $300 million in Co-Investor commitments closed on June 7th. The balance, $55 million, is expected to close by the end of June.
(2) Management will have an initial $4 million commitment that will expand up to $20 million over time as distributions are made from GME II. Management's pro rata funding will occur in late June.
(3) 1.9x weighted-average DROI based on current well costs and $75/$3.50 flat price deck.

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Asset Overview

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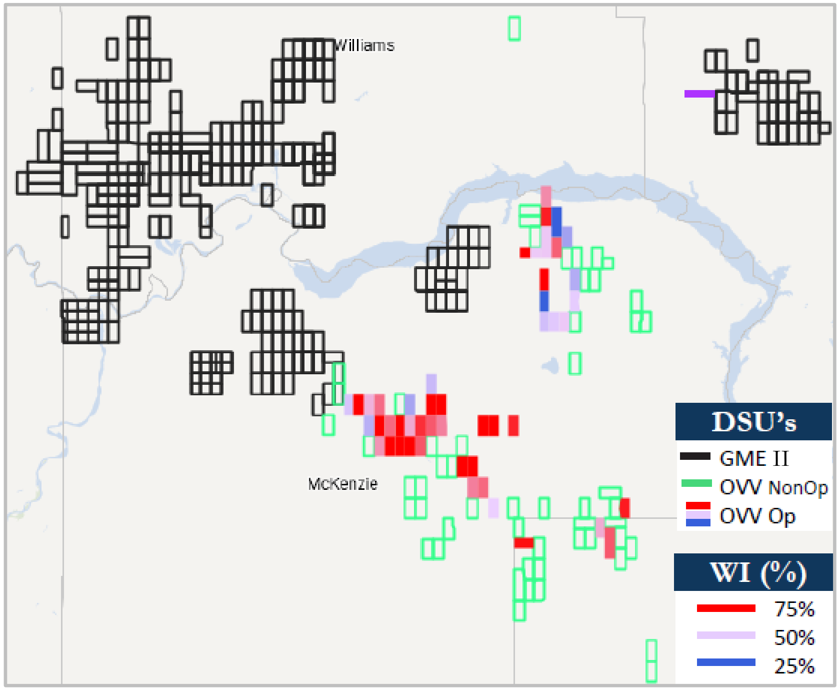
- $825 million acquisition of Bakken assets
  - $740 million total cash needs ($465 million equity and $275 million bank debt)
  - Marketed process run by TPH
- Base case underwriting generates target returns, and we expect additional growth opportunities from continued BD efforts
- Significant hard value (6/7/23 strip)
  - PD PV10 ~$810 million
  - 34 Mboe/d 2023E net production (~80% liquids)
  - 2023E EBITDA ~$406 million (~2.0x deal)
- Compelling development upside
  - 44,000 net acres / 100% HBP
  - 200+ gross / 130+ net risked locations and refracs
- GME management has proven track record in the Bakken
  - Demonstrated ability to efficiently drill & complete and refrac wells
  - History of reducing downtime and operating costs

Asset Map



NAV Buildup (6/7 NYMEX Strip)

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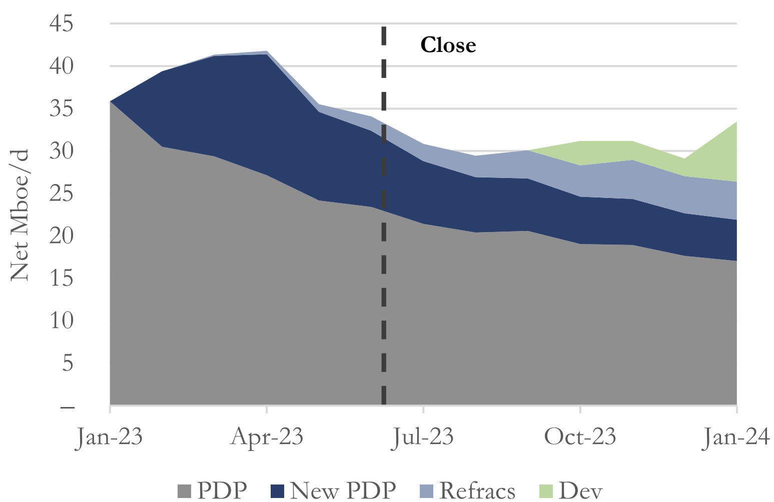
	Well Count		Present Value ($MM)					
	Gross	Net	10.0%	12.5%	15.0%	25.0%	Selected Values	*Discount Rate*
PDP	**624**	**236**	**$655**	**$615**	**$581**	**$485**	**$655**	*PV-10*
New PDP	**19**	**10**	**$154**	**$144**	**$135**	**$110**	**$135**	*PV-15*
Undeveloped	**93**	**56**	**$225**	**$191**	**$164**	**$92**	**$92**	*PV-25*
Refracs	**115**	**76**	**$112**	**$96**	**$82**	**$44**	**$44**	*PV-25*
Total	**851**	**378**	**$1,146**	**$1,046**	**$962**	**$732**	**$926**	

As of January 1st effective date.

Production Profile



Overview of Capex Prior to Close

	PDP	New PDP	Refrac	Dev	Total
January 2023	$1.6	$41.5	–	–	**$43.1**
February 2023	–	$13.5	–	–	**$13.5**
March 2023	$0.3	$4.2	$4.6	$2.6	**$11.7**
April 2023	–	–	–	$1.3	**$1.3**
May 2023	–	–	$11.7	$1.8	**$13.5**
June 2023	$3.1	–	–	$2.4	**$5.5**
Total	**$5.1**	**$59.2**	**$16.3**	**$8.1**	**$88.6**

Type Curve Economics

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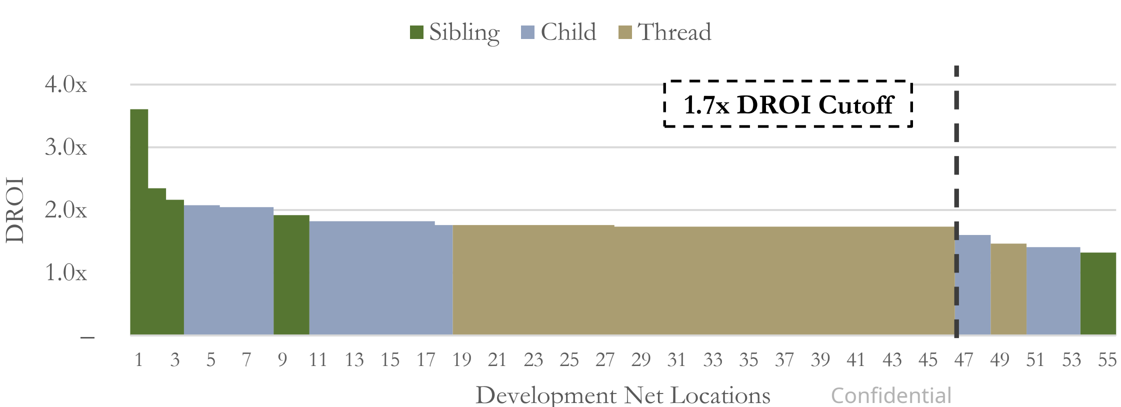
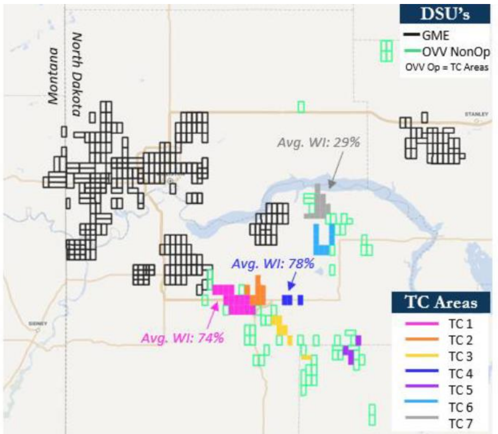
	TC1	TC2	TC3	TC4	TC5	TC6	TC7
Development							
Gross / Net							
Sibling	0 / 0.0	0 / 0.0	3 / 1.9	3 / 2.5	0 / 0.0	1 / 0.1	9 / 2.7
Child	9 / 7.1	5 / 2.3	5 / 2.6	6 / 4.5	0 / 0.0	1 / 0.3	4 / 0.9
Thread	26 / 19.2	17 / 9.4	3 / 2.2	0 / 0.0	0 / 0.0	0 / 0.0	1 / 0.2
Total	**35 / 26.3**	**22 / 11.7**	**11 / 6.6**	**9 / 7.0**	**0 / 0.0**	**2 / 0.4**	**14 / 3.8**
EUR (Bo/ft)							
Sibling	-	-	51	49	-	65	73
Child	46	47	45	42	-	44	58
Thread	45	42	35	-	-	-	72
Wtd. Avg	**45**	**43**	**43**	**45**	-	**51**	**69**
Wtd. Average Economics ($75 / $3.50 Flat)							
DROI	1.8x	1.8x	1.4x	1.9x	-	2.4x	2.9x
IRR	93%	109%	43%	169%	-	253%	289%
Refracs							
Gross / Net							
Refracs	43 / 31.8	28 / 15.4	10 / 6.4	3 / 2.3	6 / 3.8	22 / 11.0	4 / 1.2
Wtd. Average Economics ($75 / $3.50 Flat)							
DROI	1.9x	1.9x	1.9x	1.9x	2.0x	2.0x	2.0x





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Current Hedge Profile

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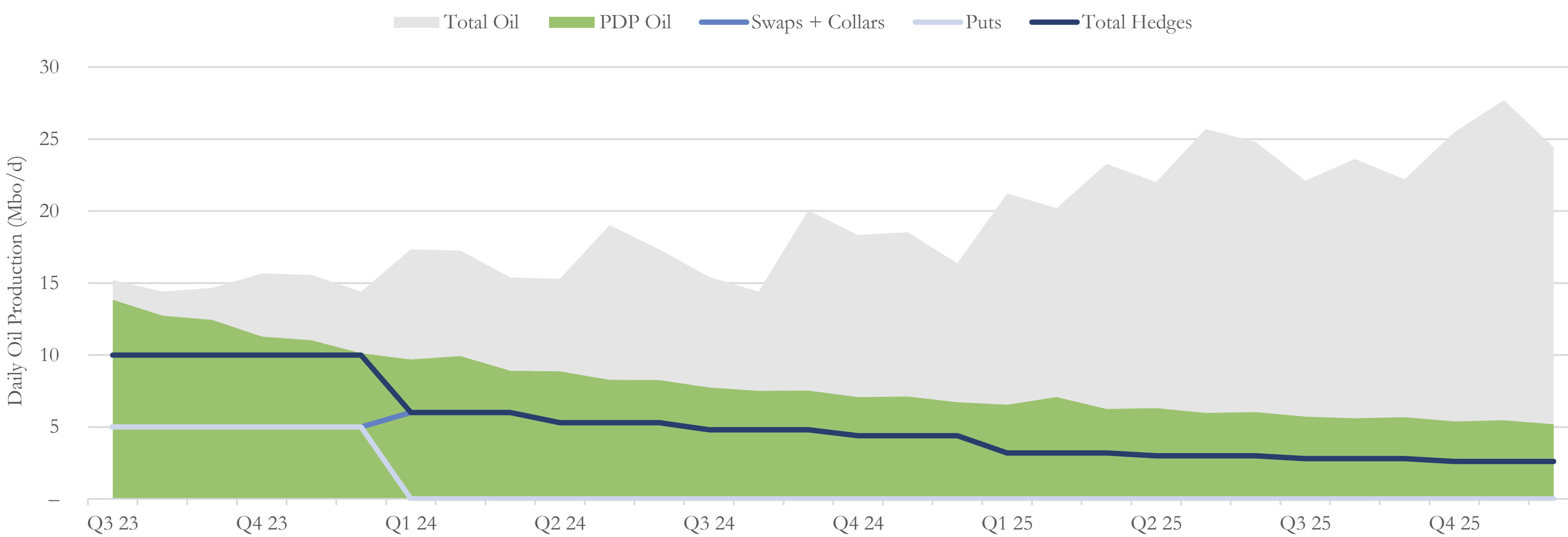

Daily Oil Production (Mbo/d)	**Q3 23**	**Q4 23**	**Q1 24**	**Q2 24**	**Q3 24**	**Q4 24**	**Q1 25**	**Q2 25**	**Q3 25**	**Q4 25**
Total Oil Production	14.8	15.2	16.7	17.2	16.6	17.7	21.6	24.2	22.6	25.9
PDP Oil Production(1)	13.0	10.8	9.5	8.5	7.6	7.0	6.6	6.1	5.7	5.3
Total Hedged Oil Production	10.0	10.0	6.0	5.3	4.8	4.4	3.2	3.0	2.8	2.6
% Total Production Hedged	*68%*	*66%*	*36%*	*31%*	*29%*	*25%*	*15%*	*12%*	*12%*	*10%*
Swaps	–	–	–	–	–	–	1.0	1.0	1.0	1.0
Swap Price	–	–	–	–	–	–	*$65*	*$65*	*$65*	*$65*
Collars	5.0	5.0	6.0	5.3	4.8	4.4	2.2	2.0	1.8	1.6
Collar Low	*$70*	*$70*	*$63*	*$62*	*$62*	*$62*	*$60*	*$60*	*$60*	*$60*
Collar High	*$86*	*$82*	*$74*	*$75*	*$74*	*$74*	*$69*	*$70*	*$70*	*$70*
Puts	5.0	5.0	–	–	–	–	–	–	–	–
Put Floor	*$70*	*$70*	–	–	–	–	–	–	–	–

(1) 6/30/2023 PDP forecasted.

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Grayson Mill Management Team

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Eric Bayes
Chief Executive Officer

- Mr. Bayes spent seven years at Oasis Petroleum (OAS), most recently as VP Operations. At its peak, Mr. Bayes managed a substantial capital program that included 16 rigs and six completion crews. Prior to that, Mr. Bayes served as GM of the Williston from 2013 to 2015, Completions Eng. Manager from 2011 to 2013, and Sr. Operations Eng. from 2009 to 2011.
- Prior to OAS, Mr. Bayes served in various engineering capacities at Hess working on operations in Equatorial Guinea, North Dakota, Deepwater GOM, and reservoir roles in North Dakota. Mr. Bayes holds a B.S. in Petroleum Engineering from Texas A&M University.

Blake Sullens
Chief Operating Officer

- Mr. Sullens spent five years as part of the management team for Alta Resources. Most recently, Mr. Sullens served as Operations Manager and was responsible for the technical evaluation for acquisitions from 2013 to 2016. From 2010 to 2013, Mr. Sullens played a pivotal role in the acquisition and divestiture of assets in the Duvernay Shale in addition to overseeing the entirety of operations.
- Prior to joining Alta, played an active role in Hess's New Ventures Team. Mr. Sullens holds a B.S. in Petroleum Engineering from Texas A&M University.

Matt Ultis
Chief Financial Officer

- Mr. Ultis served as CFO and VP for Redman Management Co., an oil and gas portfolio company of GSO Capital Partners.
- Prior to Redman, Mr. Ultis served in a variety of capacities with OAS in strategic planning, BD, IR, treasury, risk mitigation, and financial reporting. Between 2010 and 2015, his two titles were Manager, Finance and IR and Manager, BD and Strategic Planning.
- Prior to joining OAS, Mr. Ultis held various positions at FTI Consulting, and Constellation Energy Group / Partners. Mr. Ultis holds a B.B.A. from Concordia University, Texas, a M.S.- Finance from Texas A&M University, and an M.B.A. from the University of Texas.

Dewey Gerdom Jr.
Vice President
Business Development

- Mr. Gerdom served as VP BD at Bright Horizon Resources (BHR). BHR focused acquisition efforts in MidCon and East Texas.
- Prior to BHR, Mr. Gerdom was CEO of PDC Mountaineer (PDCM), a JV formed to develop the Marcellus. His team operated over 3,000 shallow wells and was a leader in the expansion of the southern boundaries of the play. Mr. Gerdom also worked for PDC Energy and was part of the team that moved PDC into the Wattenberg and Piceance Basins. He held several positions, including VP of A&D.
- Mr. Gerdom previously worked for Chevron as a Landman and Asset Manager. Mr. Gerdom holds a Bachelor's Degree in Business from the University of Wyoming.

Kennon Doyal
Vice President
Production

- Mr. Doyal spent six years at Bruin E&P Partners as COO and previously VP Operations. As COO, Mr. Doyal was responsible for managing all aspects of operations, including over 300 wells and 30 Mboe/d of production.
- Prior to Bruin, Mr. Doyal served as VP Operations of Ursa Resources for four years and oversaw all aspects of operations for the company's Piceance Basin assets, East Texas Eagle Ford assets, and various plays in Ursa's New Ventures portfolio.
- Mr. Doyal previously worked for NFR Energy, EDGE Petroleum, and UNOCAL in various operations roles. Mr. Doyal holds a B.S. in Petroleum Engineering from Texas A&M University.

EnCap Investments L.P.

Memorandum

To: EnCap Investment Staff

From: Brad Thielemann, Bryan Stahl, Connor Michelsen, and Andrew Perry

Date: June 9, 2023

Re: Grayson Mill Energy ("GME") III, LLC Update & Bakken Acquisition Closing

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This memo provides an update on GME's acquisition of Ovintiv Inc.'s ("OVV") Bakken properties for $825 million, which is set to close on Monday, June 12th, and the capitalization and hedging positions of GME III at closing.

- GME II (Funds X & XI) entered the Bakken through its $900 million acquisition of Equinor's assets in April 2021. Since then, the GME team has created substantial value by developing its properties (new drills and refracs), reducing operating costs, optimizing production, and bolting on assets through its commercial efforts. GME II has returned $814 million on $590 million of invested equity (1.4x ROI to date), and the deal is marked at a 3.7x ROI (3/31).
- GME previously evaluated OVV's Bakken assets and made a pre-process bid in late 2022. In early 2023, OVV launched a marketed process with TPH as its advisor. GME/EnCap ultimately represented the most attractive bid given our ability to move quickly and provide an all-cash solution, and the PSA was executed on April 3rd.
- An estimated $740 million will be required to close on June 12th after backing out interim period cash flow and other customary adjustments. This figure includes the ~$41 million deposit previously funded in April. At closing, GME III will have an estimated $465 million of equity invested. GME III has secured an RBL, led by JPMorgan, and GME III will have an estimated $275 million drawn on its $375 million borrowing base at closing (<1.0x leverage).
- To capitalize the company for closing and to have dry powder to pursue future growth opportunities, GME III will ultimately have $920 million of total equity commitments: (i) $67 million Fund X, (ii) $133 million Fund XI, (iii) $400 million Fund XII, (iv) $300 million Co-Investors, and (v) $20 million GME management. Of note, approximately $245 million of the $300 million in Co-Investor commitments closed on June 7th after a successful fundraise, and the balance ($55 million) is expected to close by the end of June. Management will have an initial $4 million commitment that will expand up to $20 million over time as distributions are made from GME II. EnCap received formal approval from the Funds X & XI Advisory Boards to bring Fund XII into GME III on March 30th.
- OVV's assets include ~44k net acres and ~34 Mboe/d net production (80% liquids; 2023E). Estimated hard value is approximately $810 million as of June 7th strip pricing (January 1st effective date). We underwrote ~200 gross / ~130 net risked development locations and refrac opportunities that generate a weighted-average 1.9x DROI at $75/$3.50 flat pricing. We have high confidence in GME's ability to efficiently operate and develop this inventory. For full-year 2023, the assets are expected to generate $406 million EBITDA, equating to a ~2.0x EBITDA transaction multiple. The hold & develop / blowdown returns are compelling, and we believe this acquisition provides the ability to generate attractive risk-adjusted returns (2.4x ROI & 28% IRR at 6/7/23 strip). We view this transaction as lower risk given substantial hard value coverage for the purchase price, but we also believe this deal has significant upside at current commodity prices. Finally, we have confidence that the GME team is well-equipped to enhance the value of GME III through continued business development efforts, and GME III's total equity commitment will provide dry powder to be in position to capture. The team has identified several opportunities (both negotiated and marketed transactions) that we expect to evaluate together in the coming months.
- GME III has already entered into significant oil hedges to protect the downside and to satisfy bank requirements. Currently, the company has hedged 84% of 2H 2023 PDP volumes (67% of total expected with development), 65% of 2024 PDP volumes (30% of expected), and 50% of 2025 PDP volumes (12% of expected) using a combination of puts, collars, and swaps. GME III has a rolling hedging requirement (50% of PDP for 18 months) going forward.
- GME will further supplement its team with additional hires, and there are no changes to executive management for GME III. Total overhead will be allocated amongst GME II & GME III (initially 67%/33%), which will be reviewed and approved by EnCap on an ongoing basis. Overall, both entities will benefit from shared services and scale.

Capitalization at Closing and Transaction Attributes

Sources	Committed	Invested at Close	June 30 Invested[1]
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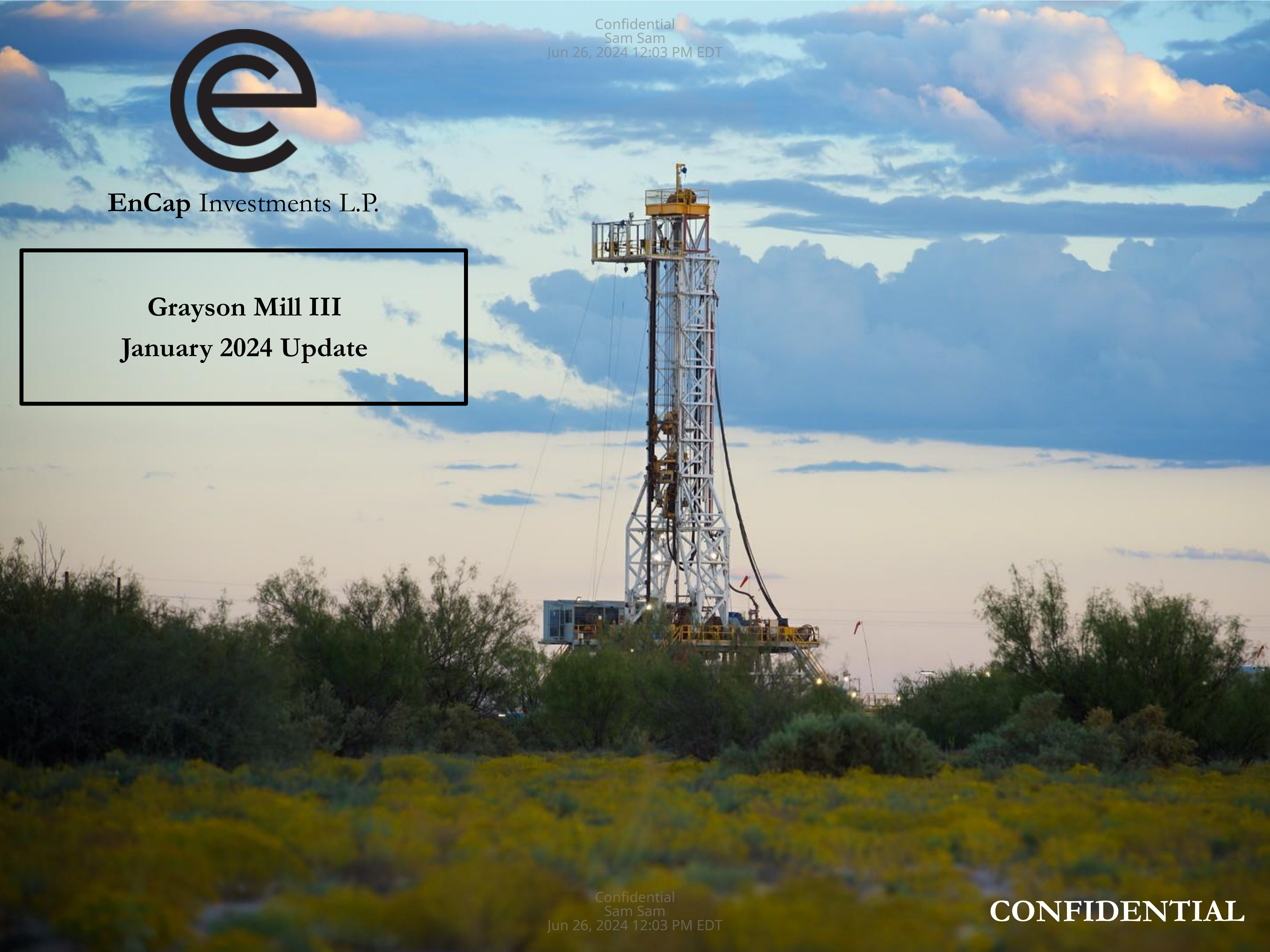

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Grayson Mill III
January 2024 Update

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Net IRRs are calculated on the basis of the actual timing of capital calls and distributions to investors. Net IRRs are based on cash flows after deduction for management's promote, where applicable. Net ROIs and Net MOICs are calculated as total realized proceeds and unrealized values (if applicable) after the deduction for management's promote, divided by the total capital invested. Net returns as shown herein are gross of tax.

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Grayson Mill III Overview

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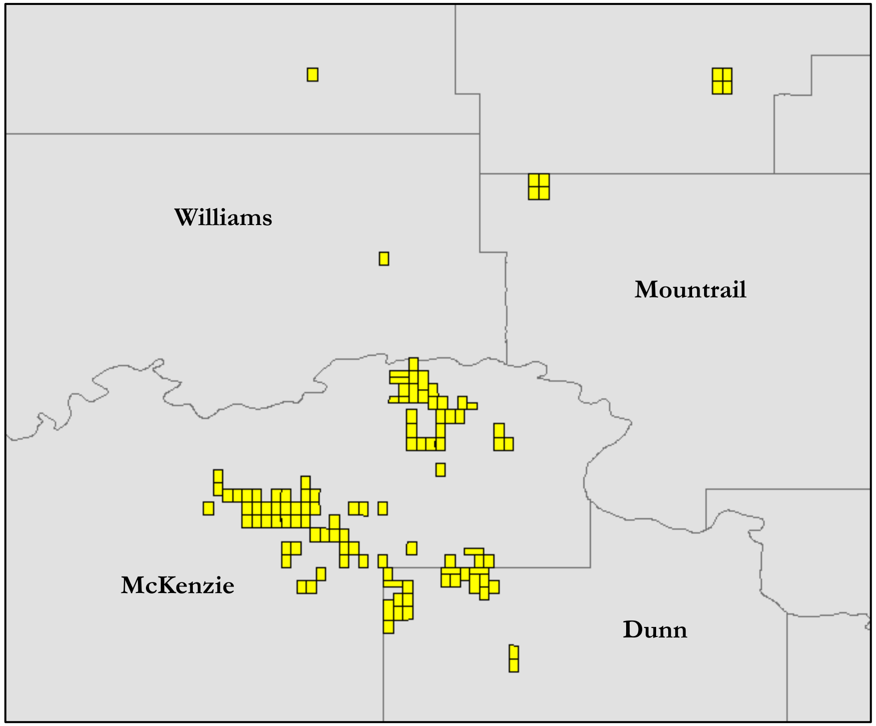
Asset Overview

- Same Bakken management team that oversees Grayson Mill II, a highly successful EnCap company
- $825 MM acquisition of Bakken assets from public seller
  - Substantially underpinned by hard value
  - Purchased at approximately 2x 2023 EBITDA
- 44,000 net acres / 39 MBOED 2024E Production (~50% oil / ~80% liquids)
- Highly economic development and refrac locations create meaningful upside potential
  - 208 gross / 132 net development and refrac locations
  - Development funded with existing cash flow base
- Plan to initiate distributions from excess cash flows in 2024
  - ~$100 MM gross expected in 2024
- Significant hedges in place to protect downside

Asset Map (North Dakota)



Acquisition Sources & Uses

Sources		Uses	
Equity	$465	Purchase Price	$825
Bank Debt	275	Fees & Expenses	10
Interim Cash Flow	95		
Total	**$835**	**Total**	**$835**

Grayson Mill III Updates Since Acquisition

- Formally brought operations in-house in Q3 2023
- Running a 1-rig program and performing refracs in conjunction with new development
  - Optimized rig program towards higher working interest wells
  - Accelerating production growth in early 2024
- Paid down $40 million of debt from initial $275 million to $235 million (year-end 2023), while deploying significant development capital
- Completed $15 million land acquisition adding highly economic inventory that will be prioritized in development plan
- 12 new development wells and 6 completed since acquisition alongside 1 completed refrac
  - Encouraging wells results to date